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* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

% Reserved on: 06.09.2022

Pronounced on: 27.09.2022

\+ **CRL.M.C. 1902/2022 & CRL.M.A. 8114/2022**

KARTAR SINGH MALHI ..... Petitioner

Through: Mr. Sandeep Chaddha and Mr. Yashwant Bisht, Advocates.

versus

M/S GURUKRIPA FINANCE & INVESTMENT CO. ..... Respondent

Through: Ms. Aarti Nanda, Advocate.

CORAM:
HON'BLE MS. JUSTICE NEELAM SAHGAL RAO

JUDGMENT

1. This petition under Section 482 of the Code of Criminal Procedure, 1973 ("CrPC") is directed against the order dated 05.07.2022 passed by the learned Metropolitan Magistrate (NI Act), South-East District, Saket Courts, in Complaint Case No. 1204/2021, whereby the petitioner was directed to pay interim compensation of Rs.2,40,000/- to the complainant within sixty days under Section 143A of the Negotiable Instruments Act, 1881 ("the NI Act").

2. The complaint under Section 138 of the NI Act pertains to a dishonoured cheque for Rs.12,00,000/- said to have been issued towards repayment of a friendly loan. Upon the petitioner pleading not guilty when notice of accusation was framed under Section 251 CrPC, the complainant moved an application for interim compensation. The learned Magistrate allowed the application by a three-line order, fixing the amount at twenty per cent of the cheque amount, without recording any reasons.

3. Learned counsel for the petitioner submits that the word "may" in Section 143A confers a discretion, that the Magistrate did not apply his mind to the prima facie case or to the defence, and that the petitioner, a retired schoolteacher, would be exposed to recovery of the amount well ahead of the trial.

4. Learned counsel for the respondent submits that Section 143A opens with a non obstante clause, that the legislative intent is to deter frivolous defences, and that the

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Magistrate was right in directing payment at the earliest stage. Reliance is placed on the decision of the Supreme Court dated 23.08.2022 in Devraj Mohanty v. Sundaram Plastomers Ltd. (Criminal Appeal No. 1421 of 2022), which concerned Section 148 of the NI Act.

5. The question for determination is whether the power to direct interim compensation under Section 143A of the NI Act is mandatory or directory at the stage of framing of notice of accusation.

6. Sub-section (1) of Section 143A provides that the Court trying an offence under Section 138 “may” order the drawer to pay interim compensation. The word is conspicuously permissive. Where Parliament intended a compulsory deposit it used the language of obligation, as is evident from the scheme of Chapter XVII of the NI Act as a whole.

7. Compensation under Section 143A is ordered before any finding of guilt, and the Court is empowered to direct its return, with interest, if the drawer is acquitted. A power which burdens an accused who is still presumed innocent must be exercised upon a judicial assessment of the case and not as a matter of routine.

8. Reliance on Devraj Mohanty (supra) is misplaced. Section 148 of the NI Act operates after conviction, when the presumption of innocence has been displaced by a finding of guilt and the appellant seeks suspension of the sentence. Section 143A operates before adjudication and stands on an entirely different footing.

9. I hold that the expression “may” in Section 143A(1) of the Negotiable Instruments Act, 1881 confers a discretion on the Court and is directory; before directing interim compensation the Court must record reasons, having regard to the prima facie case, the nature of the defence raised and the financial circumstances of the drawer.

10. The impugned order, which contains no reasons, cannot be sustained and is set aside. The matter is remitted to the learned Metropolitan Magistrate to decide the complainant's application afresh after hearing both sides, in accordance with the above. Parties shall appear before the learned Magistrate on 18.10.2022. Pending applications stand disposed of.

NEELAM SAHGAL RAO, J

SEPTEMBER 27, 2022/ak

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